## RISK AT FINANCIAL STATEMENT LEVEL

### INHERENT RISK AT FINANCIAL STATEMENT LEVEL 11.20

No inherent risks at financial statement level have been identified, click here to record a risk.

| | |
|---|---|
| 1. Inherent risk at financial statement level assessment: | ***Not yet assessed*** |

### FRAUD RISK AT FINANCIAL STATEMENT LEVEL 11.25

| Source | Risk | ROMM considerations | ROMM | Significant risk | Overall response |
|---|---|---|---|---|---|
| ISA240.31<br>ISA240.32 | ***Management override of controls:***<br>***Management is in a unique position to perpetrate fraud by overriding controls (ISA240.31).*** | ***Management is in a unique position to perpetrate fraud because of management's ability to manipulate accounting records and prepare fraudulent financial statements by overriding controls.*** | | ☑ | ***- Gain an understanding of the controls surrounding journal entries, including non-standard journal entries used to record non-recurring, unusual transactions or adjustments. Refer to 11.50.***<br>***- Test the appropriateness of journal entries recorded in the general ledger and other adjustments made in preparation of the financial statements. Refer to 16.10***<br>***- Based on your fraud risk assessment, consider the need to test additional journals throughout the period and/or journals and adjustments with specific characteristics. (Take into account that material, significant and unusual year-end adjustments and other non-standard journals are tested in each section.)***<br>***No response required.*** |

| | |
|---|---|
| 2. Fraud risk at financial statement level assessment: | ***Not yet assessed*** |

### CONTROL RISK AT FINANCIAL STATEMENT LEVEL 11.30

No control risks at financial statement level have been identified, click here to record a risk.

| | |
|---|---|
| 3. Control risk at financial statement level assessment: | ***Not yet assessed*** |

## RISK AT ASSERTION LEVEL

| Overall audit considerations | Select | Description | Ref |
|---|---|---|---|
| **Are we planning to:** | | | |
| 4. Use evidence prepared by management's expert? | | | |
| 5. Use the work of an auditor's expert? | | | |
| 6. Obtain any external confirmations except for the bank confirmation? | | | |
| 7. Place reliance on work performed by another practitioner? | | | |

## PROPERTY, PLANT AND EQUIPMENT

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 8. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Property, plant and equipment were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 305.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## INVESTMENT PROPERTY ON THE COST MODEL

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 9. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Investment property on the cost model were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 311.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## PREPAYMENTS

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 10. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Prepayments were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 331.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## LOANS TO DIRECTORS, MANAGERS AND EMPLOYEES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 11. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Loans to directors, managers and employees were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 449.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## INVENTORIES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 12. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Inventories were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 405.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |
| Attend the physical inventory count | ☐ | | |
| Audit evidence regarding the existence and condition of material inventory must be obtained. | | | |

**Reasons / explanations, including significant judgements made:**

## CASH AND CASH EQUIVALENTS

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 13. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Cash and cash equivalents were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 420.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |
| Perform a cash count | ☐ | | |
| Bank confirmation needed | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## TRADE AND OTHER RECEIVABLES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 14. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Trade and other receivables were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 430.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## OTHER FINANCIAL LIABILITIES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 15. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Other financial liabilities were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 550.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## FINANCE LEASE LIABILITIES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 16. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Finance lease liabilities were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 555.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## BANK OVERDRAFT

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 17. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Bank overdraft were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 620.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |
| Bank confirmation needed | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## TRADE AND OTHER PAYABLES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 18. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Trade and other payables were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 630.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## CURRENT TAX PAYABLE

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 19. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Current tax payable were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 695.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## REVENUE

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 20. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Revenue were identified (stand-back provision)? | | |

| Source | Risks requiring specific attention | Significant risk | Non-substantive procedures required | Specific audit procedures | C | EO | RO | AVA | CO | PD |
|---|---|---|---|---|---|---|---|---|---|---|
| ISA 240.26 | Fraud in revenue recognition - Revenue stream 1:<br><br>Refer to revenue streams identified on 10.51. In terms of ISA 240.26, the auditor shall presume that there is a significant risk due to fraud in revenue recognition. The auditor should evaluate which types of revenue, revenue transactions or assertions give rise to the presumed fraud risk. | ☑ | ☐ | Insert the procedure here for the presumed risk. | ☐ | ☐ | | ☐ | ☐ | ☐ |
| ISA 240.26 | Fraud in revenue recognition - Revenue stream 2:<br><br>Refer to revenue streams identified on 10.51. In terms of ISA 240.26, the auditor shall presume that there is a significant risk due to fraud in revenue recognition. The auditor should evaluate which types of revenue, revenue transactions or assertions give rise to the presumed fraud risk. | ☑ | ☐ | Insert the procedure here for the presumed risk. | ☐ | ☐ | | ☐ | ☐ | ☐ |
| ISA 240.26 | Fraud in revenue recognition - Revenue stream 3:<br><br>Refer to revenue streams identified on 10.51. In terms of ISA 240.26, the auditor shall presume that there is a significant risk due to fraud in revenue recognition. The auditor should evaluate which types of revenue, revenue transactions or assertions give rise to the presumed fraud risk. | ☑ | ☐ | Insert the procedure here for the presumed risk. | ☐ | ☐ | | ☐ | ☐ | ☐ |

| Audit considerations | Audit procedures | 700.10 |
|---|---|---|

| | | | |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☑ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## COST OF SALES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 21. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Cost of sales were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 720.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |
| Attend a wage pay-out | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## OPERATING GAINS / LOSSES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 22. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Operating gains / losses were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 741.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## OPERATING EXPENSES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 23. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Operating expenses were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 750.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |
| Attend a wage pay-out | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## FINANCE COSTS

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 24. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Finance costs were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 775.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## TAXATION

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | N/A | Medium (1) | Medium (1) | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | N/A | No IR | No IR | No IR |
| Select assertion for testing: | ☐ | ☐ | | ☐ | ☐ | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 25. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Taxation were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 795.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## CAPITAL OR CONTRIBUTIONS

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 26. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Capital or contributions were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 805.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## RETAINED INCOME

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | Medium (1) | Medium (1) | Medium (1) | Medium (1) | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | No IR | No IR | No IR | No IR | N/A | No IR |
| Select assertion for testing: | ☐ | ☐ | ☐ | ☐ | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |
| | Select at least one assertion for the material financial statement item (ISA 330.18) | | | | | |

| Procedure | Select | Ref |
|---|---|---|
| 27. Did we evaluate all audit evidence available to date and conclude that no inherent risks related to Retained income were identified (stand-back provision)? | | |

| Audit considerations | | Audit procedures | 810.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## RELATED PARTIES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | N/A | N/A | N/A | N/A | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | N/A | N/A | N/A | N/A | N/A | No IR |
| Select assertion for testing: | | | | | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |

| Audit considerations | | Audit procedures | 850.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## COMMITMENTS AND CONTINGENCIES

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | N/A | N/A | N/A | N/A | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | N/A | N/A | N/A | N/A | N/A | No IR |
| Select assertion for testing: | | | | | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |

| Audit considerations | | Audit procedures | 857.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## STATEMENT OF CASH FLOWS

| Risk assessment | Assertion | | | | | |
|---|---|---|---|---|---|---|
| | C | EO | RO | AVA | CO | PD |
| Risk of Material Misstatement: | N/A | N/A | N/A | N/A | N/A | Medium (1) |
| Inherent risk assessment at assertion level: | N/A | N/A | N/A | N/A | N/A | No IR |
| Select assertion for testing: | | | | | | ☐ |
| Specific materiality | R - | | | | | |
| Desired audit risk | Very low | | | | | |

| Audit considerations | | Audit procedures | 880.10 |
|---|---|---|---|
| Use of management's expert | No | Significant risk responses 11.60 | ☐ |
| Use of an auditor's expert | No | Test of control 11.50 | ☐ |
| External confirmations needed | No | Required procedures | ☐ |
| The work performed by another practitioner | No | Extended analytical review | ☐ |
| Nature and timing of substantive procedures, incl unpredictability. | No | Extended test of detail | ☐ |
| Reliance on previous audits for test of controls evidence. | No | Substantive sampling | ☐ |
| Laws and regulations may have direct effect on determination of amounts and disclosures (ISA250.14) | ☐ | | |

**Reasons / explanations, including significant judgements made:**

## PROFESSIONAL SKEPTICISM

| Professional skepticism | Select | Description | Ref |
|---|---|---|---|
| 28. Are there any conditions that may impede the appropriate exercise of professional skepticism?<br>Consider:<br>- Budget constraints.<br>- Tight deadlines.<br>- Lack of cooperation or undue pressures imposed by management.<br>- Insufficient understanding of the entity and its environment, its system of internal control and the applicable financial reporting framework.<br>- Difficulties in obtaining access to records, facilities, certain employees, customers, vendors or others.<br>- Over-reliance on automated tools and techniques. | | | |

| | | | |
|---|---|---|---|
| 29. Are there any unconscious or conscious auditor biases that may impede the engagement team's exercise of professional skepticism and therefore affect their professional judgments?<br>Consider:<br>- Availability bias.<br>- Confirmation bias.<br>- Groupthink.<br>- Overconfidence bias.<br>- Anchoring bias.<br>- Automation bias. | | | |

**CONCLUSION**

| Conclusion | Select | Description | Ref |
|---|---|---|---|
| 30. Did you record a risk for all instances where inherent risk factors were identified?<br>Assertions for which inherent risk factors were identified should not be selected on 12.20. Use the risk record button to record the inherent risk and relevant assertion and ensure that your understanding of the SCOTABD is documented on 11.50. | | | |
| 31. Do you approve the audit plan and strategy?<br>Consider:<br>- Assertions with no risks identified and not selected for testing, will be indicated as NRS. | | | |